impact model that can be applied across the different markets, regions, and asset classes. We provide readers with the estimated coefficients by the different asset classes, and corresponding cost estimates for various position sizes.

Highlights of the chapter include the following:

- Cost Index
  - Historical
  - Real-Time
  - Back-Testing
  - MI Simulation Exercise
- Multi-Asset Class Investing
  - Investing in Beta
  - Multi-Asset Market Impact Model

COST INDEX

The cost index was developed to assist investors gauge the trading cost environment and the market's overall sensitivity to order flow.

The cost index helps portfolio managers understand changing trading cost dynamics, explain portfolio slippage and tracking error, and also provides necessary input into portfolio construction models. These indexes also serve as an important input factor when back-testing investment ideas. The cost index assists traders evaluate broker performance and algorithms, and also provides a real-time cost metric based on actual market conditions and overall buying and selling pressure in the stock. This provides traders with a valuable reference point to hold their providers honest during the chaotic trading day.

The cost index can be defined across market capitalization categories such as large cap and small cap stocks, and also in different global regions, markets, and countries, as well as for individual stocks and other financial instruments. The cost index can also be customized for any individual benchmark, market index, or other type of investor need. Cost indexes have been previously studied by Kissell and Tannenbaum (2009) and Kissell (2006).

In the industry, there are numerous performance based indexes such as the SP500 and Russell 2000 that provide insight into market movement and value, and numerous volatility indexes such as the VIX® (SP500) and RVX (R2000) providing insight into market uncertainty and risk. Our cost index is intended to provide investors with an indication of the